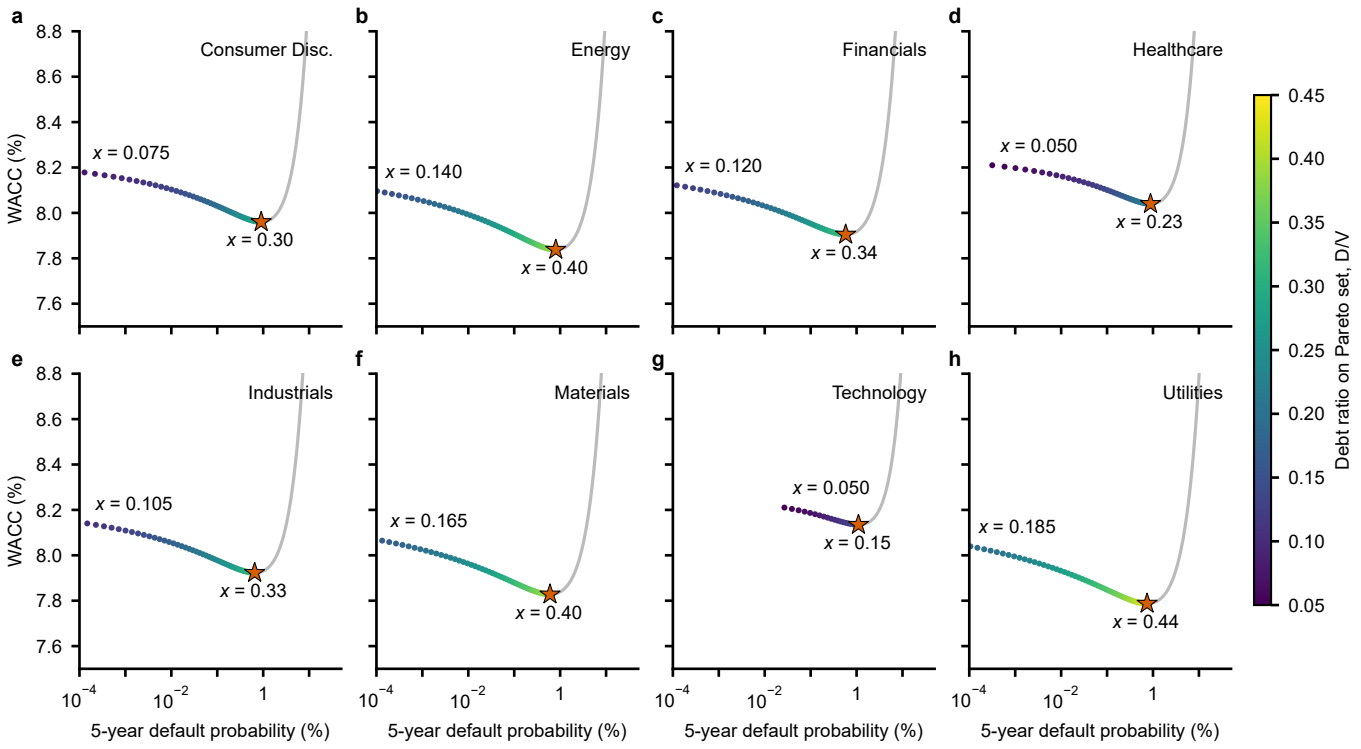

a
Consumer Disc.
x = 0.075
x = 0.30
b
Energy
x = 0.140
x = 0.40
c
Financials
x = 0.120
x = 0.34
d
Healthcare
x = 0.050
x = 0.23
e
Industrials
x = 0.105
x = 0.33
f
Materials
x = 0.165
x = 0.40
g
Technology
x = 0.050
x = 0.15
h
Utilities
x = 0.185
x = 0.44
WACC (%)
8.8
8.6
8.4
8.2
8.0
7.8
7.6
10^−4
10^−2
1
5-year default probability (%)
Debt ratio on Pareto set, D/V
0.45
0.40
0.35
0.30
0.25
0.20
0.15
0.10
0.05